

Introduction to Law and Ethics

Course: ATD — Accounting Technicians Diploma

Level: Level I

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB ATD Level I Introduction to Law and Ethics syllabus topics — sources of law, the law of contract, business ethics, and professional conduct. Authored from general legal and ethics knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

Contents

1. What is law, and why does business need it?
 2. Sources of law in Kenya
 3. The law of contract — formation
 4. The law of contract — discharge and remedies
 5. Law of agency, basics
 6. What is ethics, and why does it matter in business?
 7. Codes of conduct and professional ethics
 8. Ethical dilemmas and how to reason through them
 9. Full worked question — contract formation analysis
 10. Practice examination — KASNEB-style paper (original, not a past paper)
 11. Marking guide — model answers to the practice examination
 12. Exam technique and revision checklist
-

1. What is law, and why does business need it?

Law is the body of rules, enforceable by the state, that governs conduct within a society. For business, law provides the predictable framework within which transactions, agreements and disputes can be conducted and resolved — without it, no trader could rely on a promise, a debt, or a contract being honoured or enforceable.

Business law specifically covers the rules affecting how businesses are formed, how they contract with others, how they employ people, and how disputes between them are resolved.

2. Sources of law in Kenya

- **The Constitution** — the supreme law; any other law inconsistent with it is void to the extent of the inconsistency.
 - **Legislation (statutes)** — laws made by Parliament (Acts of Parliament) and subsidiary legislation made under authority granted by an Act.
 - **Case law (judicial precedent)** — principles established by courts in deciding cases, which lower courts are generally bound to follow in similar future cases.
 - **Customary law** — customs of a community, recognised as law where they don't conflict with the Constitution or statute.
 - **Common law and doctrines of equity** — inherited principles (from the English legal tradition) that continue to apply where not replaced by local statute.
-

3. The law of contract — formation

A **contract** is a legally binding agreement between two or more parties. For a valid contract to exist, several elements must generally be present:

- **Offer** — a clear proposal by one party, showing willingness to be bound on stated terms if accepted.
- **Acceptance** — an unqualified agreement to the exact terms of the offer; a "acceptance" that changes the terms is legally a counter-offer, not an acceptance.
- **Consideration** — something of value given by each party (money, goods, a promise) — a promise given for nothing in return is generally not enforceable as a contract.
- **Intention to create legal relations** — the parties must intend the agreement to be legally binding (commercial agreements are presumed to have this intention; purely social/domestic agreements are presumed not to, unless shown otherwise).
- **Capacity** — the parties must be legally capable of contracting (e.g. of sound mind, not a minor in most circumstances).

- **Legality of object** — the purpose of the contract must not be illegal or against public policy.
-

4. The law of contract — discharge and remedies

A contract can be **discharged** (brought to an end) by:

- **Performance** — both parties fully carry out their obligations.
- **Agreement** — the parties mutually agree to end or vary the contract.
- **Frustration** — an unforeseen event makes performance impossible or radically different through no fault of either party.
- **Breach** — one party fails to perform an obligation as agreed.

Where a contract is breached, common remedies include:

- **Damages** — a monetary award to compensate the innocent party for loss suffered.
 - **Specific performance** — a court order requiring the party in breach to actually perform their obligation (used where damages would not be an adequate remedy, e.g. for a unique item).
 - **Injunction** — a court order restraining a party from doing a particular act.
 - **Rescission** — cancelling the contract and, so far as possible, restoring both parties to their pre-contract position.
-

5. Law of agency, basics

An **agent** is a person authorised to act on behalf of another (the **principal**) in dealing with third parties. Agency can arise expressly (by agreement), by necessity (emergency circumstances), or by conduct (the principal's actions lead a third party to reasonably believe an agency relationship exists). A validly authorised agent can bind the principal to a contract made with a third party, provided the agent acts within the scope of their actual or apparent authority.

6. What is ethics, and why does it matter in business?

Ethics refers to the moral principles that govern what is considered right and wrong conduct. In business, ethics matters because trust between a business and its customers, employees, investors and the wider public underpins every transaction — a business seen as behaving

unethically (even if technically legal) risks losing that trust, along with the customers, staff and reputation that depend on it.

It's worth distinguishing law from ethics clearly: an act can be legal but still widely regarded as unethical (e.g. exploiting a legal loophole to mislead customers), and conversely, ethical judgement sometimes demands more of a business than the strict letter of the law requires.

7. Codes of conduct and professional ethics

Professional bodies (including KASNEB-regulated professions like accounting) typically set out a **code of ethics** or **code of conduct** establishing expected standards of behaviour for members. Common principles found across professional codes include:

- **Integrity** — being straightforward and honest in all professional and business relationships.
 - **Objectivity** — not allowing bias, conflict of interest, or undue influence to override professional judgement.
 - **Professional competence and due care** — maintaining the knowledge and skill needed to provide a competent service, and acting diligently.
 - **Confidentiality** — respecting the confidentiality of information acquired through professional relationships.
 - **Professional behaviour** — complying with relevant laws and regulations, and avoiding any conduct that discredits the profession.
-

8. Ethical dilemmas and how to reason through them

An **ethical dilemma** arises when a decision-maker faces competing considerations without an obviously "correct" answer under the applicable code. A structured way to reason through one:

1. Identify the specific ethical issue and who is affected by it.
 2. Identify relevant facts, and the relevant principles from the applicable code of conduct.
 3. Identify possible courses of action.
 4. Evaluate each course of action against the relevant ethical principles, not just against what is most convenient.
 5. Select and justify the course of action that best upholds the relevant principles, seeking guidance or escalating where the matter is genuinely unclear.
-

9. Full worked question — contract formation analysis

Scenario. Juma, a trader, sends Amina a letter offering to sell her 50 bags of maize at KSh 4,000 per bag, valid for acceptance within 7 days. Amina replies within 3 days, saying she accepts, but only if Juma can deliver within 2 days.

Required: (a) Has a valid contract been formed? Explain. (b) What is the legal effect of Amina's reply?

Solution:

(a) No valid contract has been formed yet. Amina's reply is not an unqualified acceptance of Juma's exact terms — she has introduced a new condition (delivery within 2 days) that Juma's original offer did not contain.

(b) Amina's reply is legally a **counter-offer**, not an acceptance. A counter-offer has the effect of rejecting the original offer — Juma's original offer is no longer open for Amina to accept later without Juma's fresh agreement. Juma is now free to accept, reject, or further negotiate Amina's counter-offer; a binding contract will only arise once one party unconditionally accepts the other's current terms.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

ATD LEVEL I — INTRODUCTION TO LAW AND ETHICS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define "law" and explain why business needs a predictable legal framework. (6 marks)

(b) Outline FOUR sources of law in Kenya. (12 marks)

(c) State the position of the Constitution relative to other laws. (2 marks)

(Total: 20 marks)

QUESTION TWO

(a) Outline the essential elements required for a valid contract to exist. *(12 marks)*

(b) Distinguish between an "offer" and an "invitation to treat." *(4 marks)*

(c) Explain the effect of a counter-offer on the original offer. *(4 marks)*

(Total: 20 marks)

QUESTION THREE

Otieno agreed to sell his car to Wanjiru for KSh 500,000, to be paid and collected the following Saturday. On Friday, the car was destroyed in a fire through no fault of either party.

Required:

(a) Explain how this contract has been discharged. *(6 marks)*

(b) Outline TWO other ways a contract can be discharged. *(8 marks)*

(c) State TWO remedies available for breach of contract, briefly explaining each. *(6 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Define "agency" and explain how an agency relationship may arise. *(8 marks)*

(b) Explain the effect of a validly authorised agent's contract with a third party on the principal. *(4 marks)*

(c) Distinguish between law and ethics, with one example illustrating the distinction. *(8 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Outline FOUR principles commonly found in a professional code of ethics. *(12 marks)*

(b) Outline the steps in reasoning through an ethical dilemma. *(8 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) (6 marks) — Law is the body of rules, enforceable by the state, governing conduct in society; business needs a predictable legal framework so agreements, debts and disputes can be relied upon and enforced.

(b) (12 marks — 3 marks each) — The Constitution; legislation (Acts of Parliament and subsidiary legislation); case law/judicial precedent; customary law (and/or common law and doctrines of equity).

(c) (2 marks) — The Constitution is the supreme law; any inconsistent law is void to the extent of the inconsistency.

QUESTION TWO

(a) (12 marks — 2 marks each) — Offer, acceptance, consideration, intention to create legal relations, capacity, legality of object.

(b) (4 marks) — An offer is a definite proposal showing willingness to be bound if accepted; an invitation to treat merely invites others to make an offer (e.g. goods displayed in a shop window) and cannot itself be "accepted" to form a contract.

(c) (4 marks) — A counter-offer rejects and replaces the original offer; the original offer is no longer available for acceptance unless the offeror renews it.

QUESTION THREE

(a) (6 marks) — The contract has been discharged by frustration — an unforeseen event (the fire) made performance impossible through no fault of either party.

(b) (8 marks — 4 marks each) — Performance (both parties fully carry out their obligations); agreement (parties mutually agree to end/vary the contract) — breach could also be accepted as a valid alternative answer.

(c) (6 marks — 3 marks each) — Damages (monetary compensation for loss suffered); specific performance (court order compelling actual performance) — injunction or rescission also acceptable.

QUESTION FOUR

(a) (8 marks) — Agency is a relationship where one person (the agent) is authorised to act on behalf of another (the principal) in dealings with third parties; it may arise expressly, by necessity, or by conduct.

(b) (4 marks) — A validly authorised agent's contract with a third party binds the principal, provided the agent acted within their actual or apparent authority.

(c) (8 marks) — Law is a set of rules enforced by the state, while ethics concerns moral principles of right and wrong that may go beyond what the law strictly requires; example — exploiting a legal loophole to mislead a customer may be legal but widely regarded as unethical.

QUESTION FIVE

(a) (12 marks — 3 marks each) — Integrity, objectivity, professional competence and due care, confidentiality (professional behaviour also acceptable).

(b) (8 marks) — Identify the issue and affected parties → identify relevant facts and applicable principles → identify possible courses of action → evaluate each against the relevant principles → select and justify the best course of action.

12. Exam technique and revision checklist

- Contract-formation questions: always work through the elements systematically (offer, acceptance, consideration, intention, capacity, legality) rather than jumping straight to a conclusion.
- Counter-offer questions: remember a counter-offer destroys the original offer — a very commonly tested, easily-missed point.
- Discharge questions: name the specific mode of discharge precisely (performance/agreement/frustration/breach) before explaining it.
- Ethics questions: always distinguish law from ethics explicitly when asked to, with a concrete example — a definition alone without an example usually only earns partial marks.
- Professional code questions: know the core principles (integrity, objectivity, competence and due care, confidentiality, professional behaviour) by name, not just by description.

Quick revision — one line per topic:

1. Sources of law: Constitution (supreme), legislation, case law, customary law, common law/equity.
 2. Contract needs: offer, acceptance, consideration, intention, capacity, legality of object.
 3. A counter-offer rejects the original offer.
 4. Contracts discharged by: performance, agreement, frustration, or breach.
 5. Remedies for breach: damages, specific performance, injunction, rescission.
 6. Agency: agent acts for principal; validly authorised acts bind the principal.
 7. Ethics ≠ law: an act can be legal yet unethical.
 8. Professional code principles: integrity, objectivity, competence and due care, confidentiality, professional behaviour.
 9. Ethical dilemma method: identify issue → gather facts/principles → list options → evaluate against principles → decide and justify.
-

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.